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Managers in The Workplace



Learning Objectives

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PART 1. Tell **who managers are** and where they work.

PART 2. Explain **why managers are important** to organizations.

PART 3. Describe the **functions, roles, and skills** of managers.

PART 4. Explain the **value of studying management.**

Who Are Managers?

- **Manager –** Someone who coordinates and oversees the work of other people so that organizational goals can be accomplished.

- **First-line Managers -** *Individuals who manage the work of* ***non-managerial employees****.*
- **Middle Managers** - *Individuals who manage the work of* ***first-line managers****.*
- **Top Managers** - *Individuals who are responsible for* ***making organization-wide decisions*** *and establishing plans and goals that affect the entire organization.*

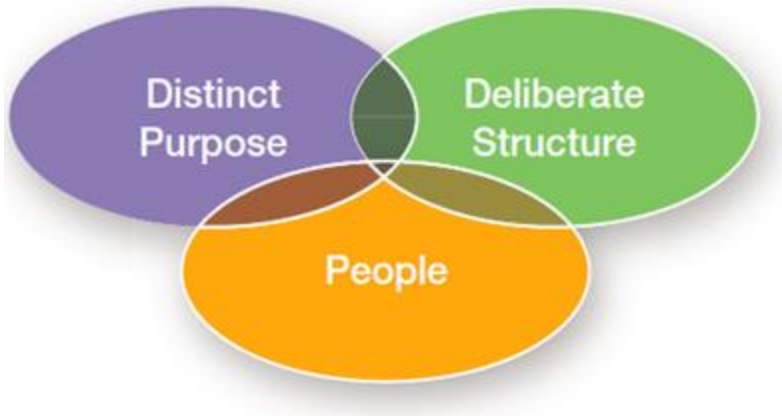


Levels of Management

Where Do Managers Work?

- **Organization** – *A deliberate arrangement of people assembled to accomplish some specific purpose (that individuals independently could not accomplish alone).*

- **Common Characteristics of Organizations:**
  - Have a distinct purpose (goal)
  - Are composed of people
  - Have a deliberate structure



Common Characteristic of Organization

Why Are Managers Important?

- Organizations need their managerial skills and abilities more than ever in these **uncertain, complex, and chaotic times**.
- Managerial skills and abilities are **critical in getting things done**.
- The **quality of the employee/supervisor relationship** is the most important variable in productivity and loyalty.

What Do Managers Do?

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Management involves **coordinating** and **overseeing** the work activities of others so that their activities are **completed efficiently and effectively**.

Efficiency

- Doing things right
- Getting the most output for the least inputs



Effectiveness

- Doing the right things
- Attaining organizational goals

The Four Management Functions

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Planning

Defining goals, establishing strategies to achieve goals, and developing plans to integrate and coordinate activities

Organizing

Arranging and structuring work to accomplish organizational goals.

Leading

Working with and through people to accomplish goals.

Controlling

Monitoring, comparing, and correcting work.

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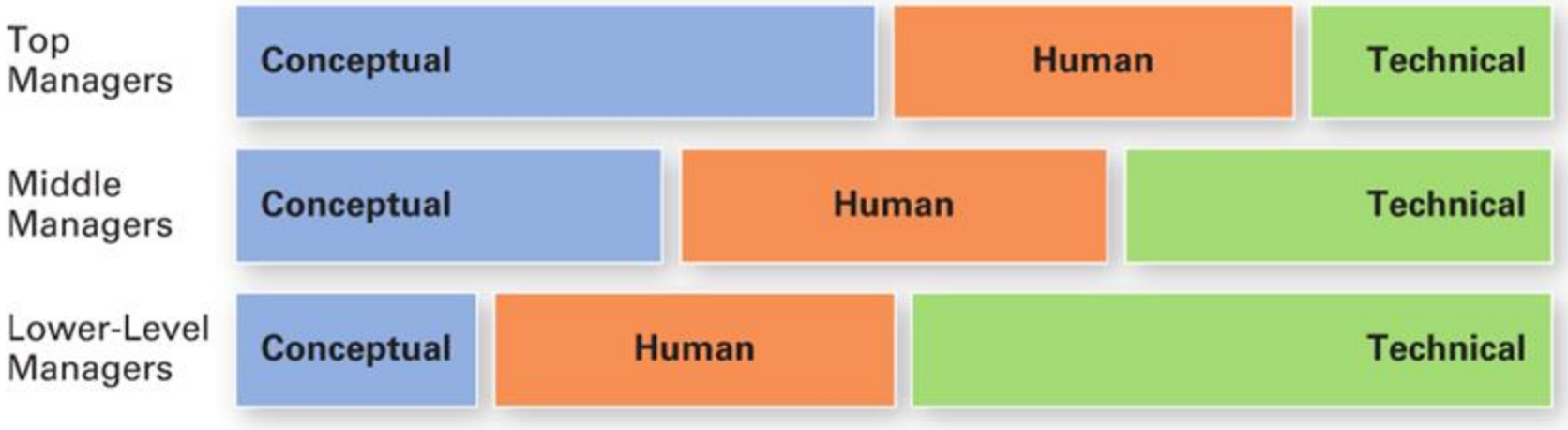
Management Roles

- Roles are specific **actions or behaviors expected of a manager**.
- Mintzberg identified **10 roles** of managers, grouping into three categories.



Skills Managers Need

- **Technical skills -** *Knowledge and proficiency in a specific field*
- **Human skills -** *The ability to work well with other people*
- **Conceptual skills -** *The ability to think and conceptualize about abstract and complex situations concerning the organization*



Why Study Management?

- **Universality of Management**

  The reality that management is needed :

  - in all types and sizes of organizations
  - at all organizational levels
  - in all organizational areas
  - in all organizations, regardless of location



Challenges and Rewards of Being a Manager

Challenges

- Can be a thankless job
- May entail clerical type duties
- Managers also spend significant amounts of time in meetings and dealing with interruptions
- Managers often have to deal with a variety of personalities and have to make do with limited resources

Rewards

- Responsible for creating a productive work environment.
- Recognition and status in your organization and in the community.
- Attractive compensation in the form of salaries, bonuses, and stock options.

Referensi

- Robbins, Stephen P & Coulter, Mary A. (2021). Management (15th edition). London : Pearson Education Limited.

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Making Decisions



"A key to success in management and in your career is knowing how to be an **effective decision-maker**."

Learning Objectives

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PART 1. Describe **the eight steps** in the decision-making process.

PART 2. Explain the **five approach** managers can use when **making decisions**.

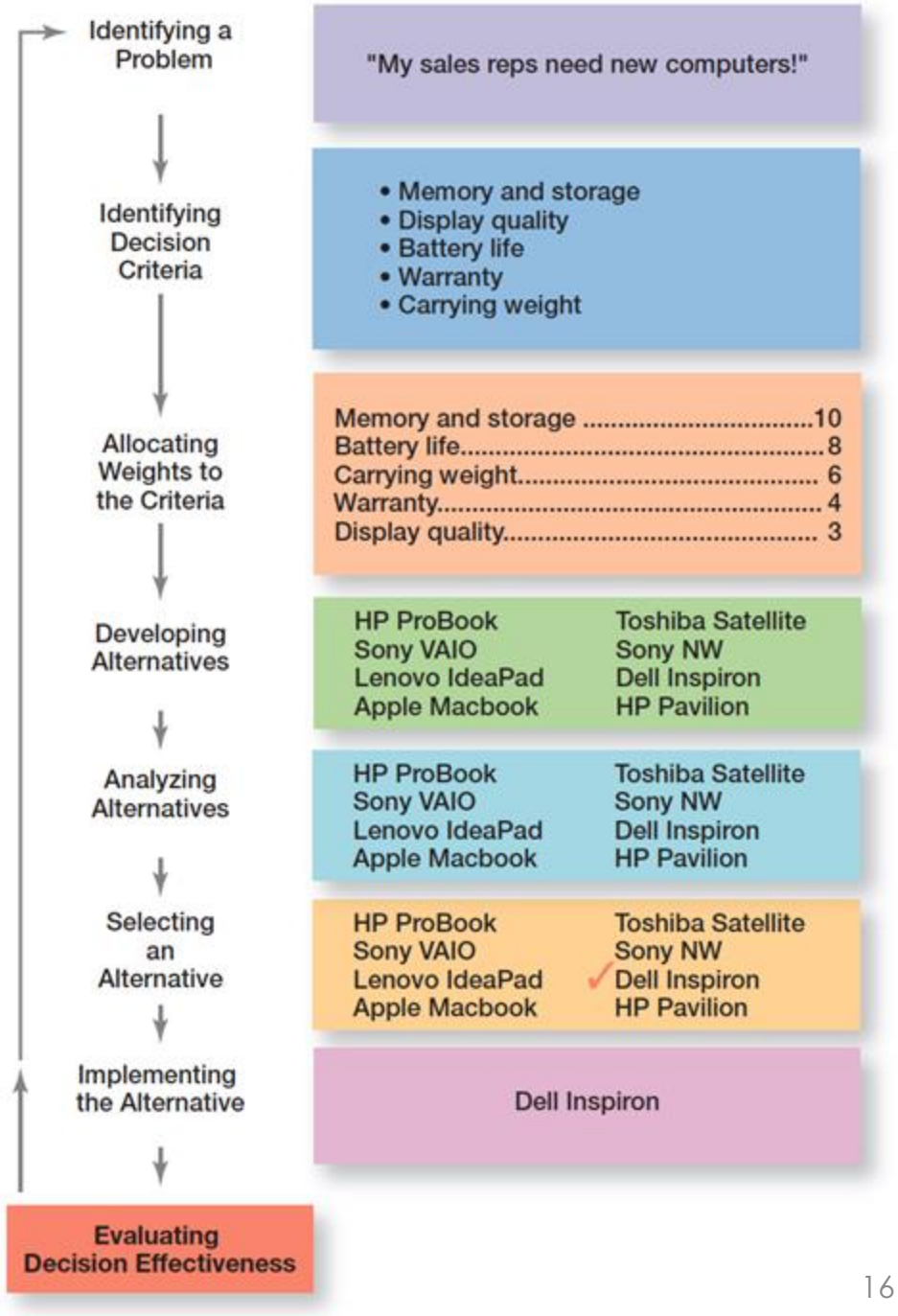
PART 3. Classify decisions and **decision-making styles**.

PART 4. Describe how biases affect **decision-making**.

PART 5. Identify approach for improving **decision-making**.

The Decision-Making Process

- **Decision** – making a choice from two or more alternatives.



The Decision-Making Process

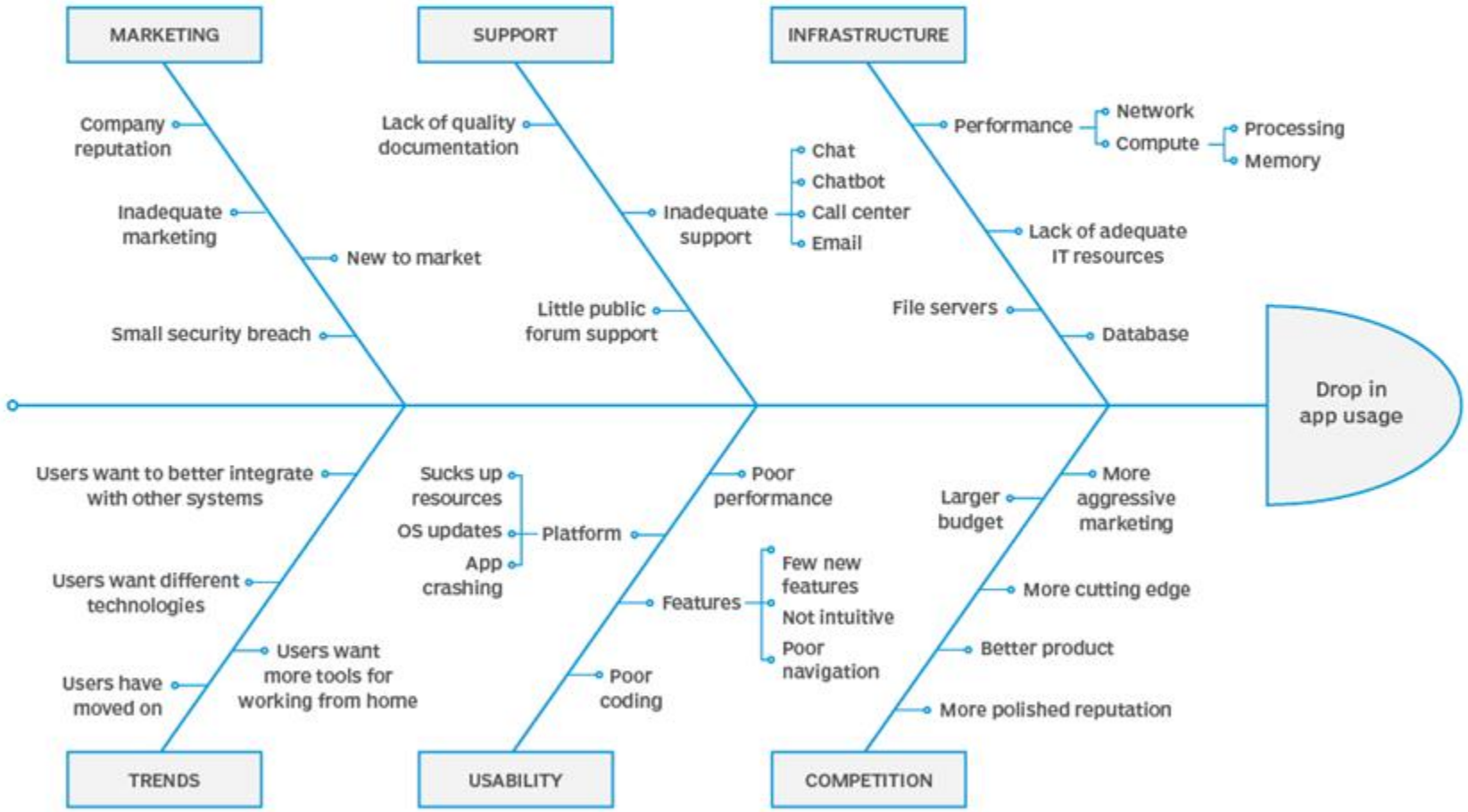
Step 1: Identify a Problem

- **Problem** – *an obstacle that makes it difficult to achieve a desired goal or purpose.*
- Every decision starts with a **problem**, a discrepancy between an existing and a desired condition.
- Example:
  - *Amanda is a sales manager whose reps need new laptops.*
- Effectively identifying problems is **important**, but **not easy**.

Tools for Identifying Problems

- Finding the cause of a problem is not always easy.
- Example: sneezing, fever, and runny nose are only **symptoms**, the **source of problem** is flu/cold.
- Tools that we can use to identify main problems:
  - Fishbone Diagram
  - CATWOE
  - 5 WHYs

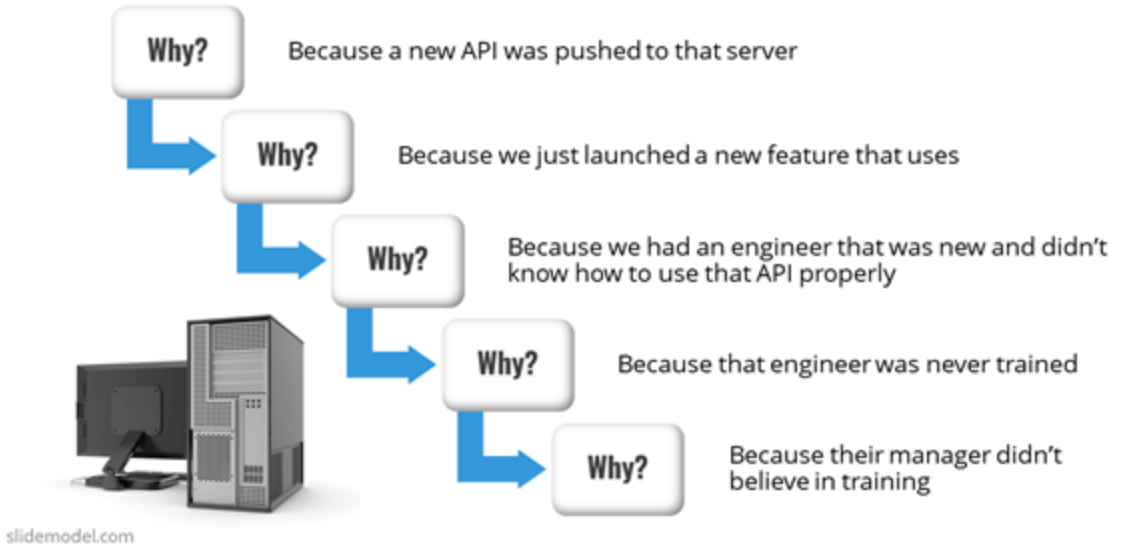
Fishbone diagram of cause and effect



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C.A.T.W.O.E		Designorate designorate.com
C	Customers	Who are the beneficiaries of the business process and how does the issue affect them?
A	Actors	Who is involved in the situation?
T	Transformation	What is the transformation that lies at the heart of the system?
W	World View	What is the big picture and what are the wider impacts of the issue?
O	Owner	Who owns the process or situation being investigated and what role will they play in the solution?
E	Environmental constraints	What are the constraints that will impact the solution and its success?

Example – Problem: "THE SERVER CRASHES TOO OFTEN"



The Decision-Making Process (cont.)

- **Step 2: Identify Decision Criteria**
  - Decision criteria are factors that are important (relevant) to resolving the problem.
  - Example:
    - *Amanda decides that memory and storage capabilities, display quality, battery life, warranty, and carrying weight are the relevant criteria in her decision.*

- **Step 3: Allocate Weights to the Criteria**
  - If the relevant criteria aren't equally important, the decision maker must weight the items in order to give them the correct priority in the decision.

The Decision-Making Process (cont.)

- **Step 4: Develop Alternatives**
  - List viable alternatives that could resolve the problem
  - Example:
    - *Amanda, identifies eight laptops as possible choices.*
- **Step 5: Analyze Alternatives**
  - Appraising each alternative's strengths and weaknesses.
  - An alternative's appraisal is based on its ability to resolve the issues related to the criteria and criteria weight.
- **Step 6: Select an Alternative**
  - Choosing the best alternative
  - The alternative with the highest total weight is chosen.

Example of Important Decision Criteria and Possible Alternatives

Important Decision Criteria

Memory and storage	10
Battery life	8
Carrying weight	6
Warranty	4
Display quality	3

Possible Alternatives

	Memory and Storage	Battery Life	Carrying Weight	Warranty	Display Quality
HP ProBook	10	3	10	8	5
Sony VAIO	8	7	7	8	7
Lenovo IdeaPad	8	5	7	10	10
Apple Macbook	8	7	7	8	7
Toshiba Satellite	7	8	7	8	7
Sony NW	8	3	6	10	8
Dell Inspiron	10	7	8	6	7
HP Pavilion	4	10	4	8	10

Example of Evaluation of Alternatives

	Memory and Storage	Battery Life	Carrying Weight	Warranty	Display Quality	Total
HP ProBook	100	24	60	32	15	231
Sony VAIO	80	56	42	32	21	231
Lenovo IdeaPad	80	40	42	40	30	232
Apple Macbook	80	56	42	32	21	231
Toshiba Satellite	70	64	42	32	21	229
Sony NW	80	24	36	40	24	204
Dell Inspiron	100	56	48	24	21	249
HP Pavilion	40	80	24	32	30	206

The Decision-Making Process (cont.)

- **Step 7: Implement the Alternative**
  - Putting the chosen alternative into action
  - Conveying the decision to and gaining commitment from those who will carry out the alternative

- **Step 8: Evaluate Decision Effectiveness**
  - The soundness of the decision is judged by its outcomes.
  - How effectively was the problem resolved by outcomes resulting from the chosen alternatives?
  - If the problem was not resolved, what went wrong?

Decisions Managers May Make

Planning

- What are the organization's long-term objectives?
- What strategies will best achieve those objectives?
- What should the organization's short-term objectives be?
- How difficult should individual goals be?

Organizing

- How many employees should I have report directly to me?
- How much centralization should there be in an organization?
- How should jobs be designed?
- When should the organization implement a different structure?

Decisions Managers May Make (cont.)

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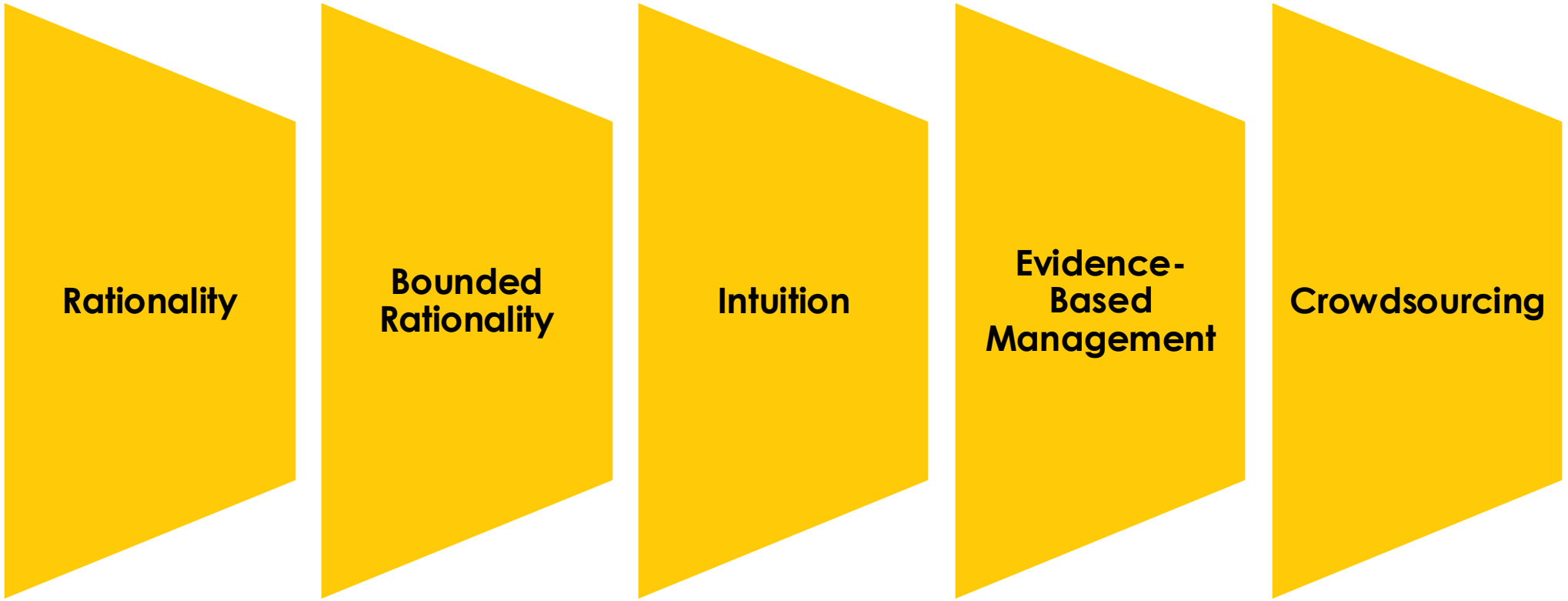
Leading

- How do I handle employees that appear to be unmotivated?
- What is the most effective leadership style in a given situation?
- How will a specific change affect worker productivity?
- When is the right time to stimulate conflict?

Controlling

- What activities in the organization need to be controlled?
- How should those activities be controlled?
- When is a performance deviation significant?
- What type of management information system should the organization have?

Approaches to Decision Making



Rationality

- **Rational Decision-Making** – *describes choices that are logical and consistent while maximizing value.*
- **Assumptions of Rationality**
  - The decision maker would be **fully objective** and **logical**
  - The **problem** faced would be **clear** and **unambiguous**
  - The decision maker would have a **clear and specific goal** and **know all possible alternatives and consequences** and consistently select the alternative that maximizes achieving that goal

Bounded Rationality

- **Bounded Rationality** – *decision-making that's rational, but limited (bounded) by an individual's ability to process information.*
  - **Satisfice** – accepting solutions that are "**good enough**."
  - **Escalation of commitment** – an increased commitment to a previous decision despite evidence it may have been wrong.

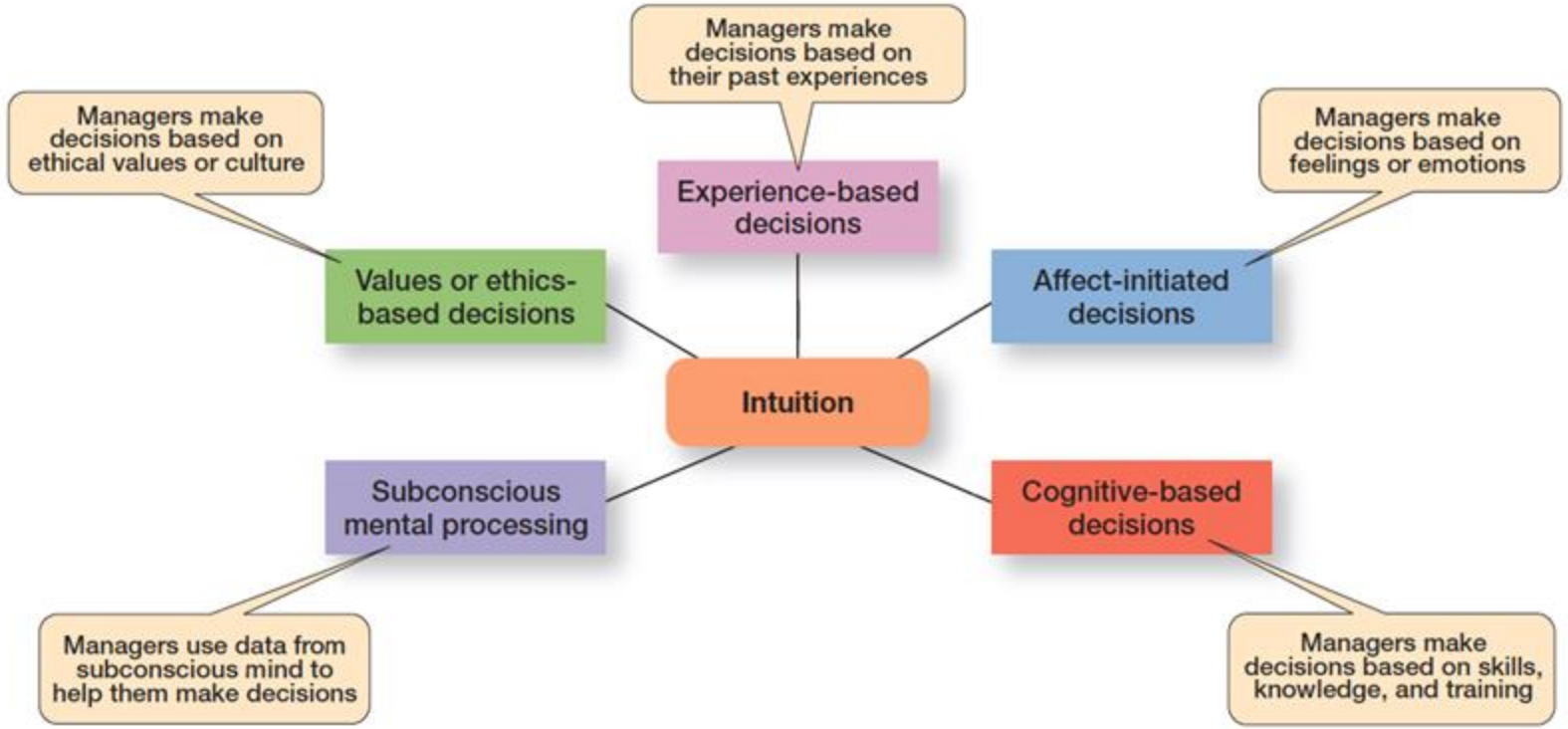
- *Example*: Choosing a university and major. Did you evaluate ALL possible options?

Intuition

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Intuitive decision-making

Making decisions on the basis of experience, feelings, and accumulated judgment.



Suggested reading:
Blink: The power of thinking without thinking by Malcom Gladwell.

Blink illustrates intuition-based decision making, showing how quick judgments formed from limited information and past experiences can be as effective as thorough, deliberate analysis.

Evidence-Based Management

- **Evidence-based management (EBMgt)** – *the systematic* ***use of the best available evidence*** *to improve management practice.*
- **Example case:**
  - A cosmetic company learned that their sales associates in Jakarta branch had the highest turnover of any store sales group. Based in this evidence, the manager decide to perform more thorough pre-employment assessment test

Crowdsourcing

- **Relying on a network of people outside the organization's traditional set of decision makers to solicit ideas via the internet**
- Example:
  - Hersheys Co. conduct an innovation competition to solve their problem: "find a way to keep their chocolates cool when shipping during the summer months or in warmer climates. Winner get $25,000/

Decisions & Decision-Making Condition

Structured Problems	straightforward, familiar, and easily defined problems.	→	Programmed Decision	a repetitive decision that can be handled by a routine approach.
Unstructured Problems	problems that are new or unusual and for which information is ambiguous or incomplete.	→	Non-programmed Decision	unique and nonrecurring and involve custom made solutions.

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Programmed Versus Nonprogrammed Decisions

Characteristic	Programmed Decisions	Nonprogrammed Decisions
Type of problem	Structured	Unstructured
Managerial level	Lower levels	Upper levels
Frequency	Repetitive, routine	New, unusual
Information	Readily available	Ambiguous or incomplete
Goals	Clear, specific	Vague
Time frame for solution	Short	Relatively long
Solution relies on...	Procedures, rules, policies	Judgment and creativity

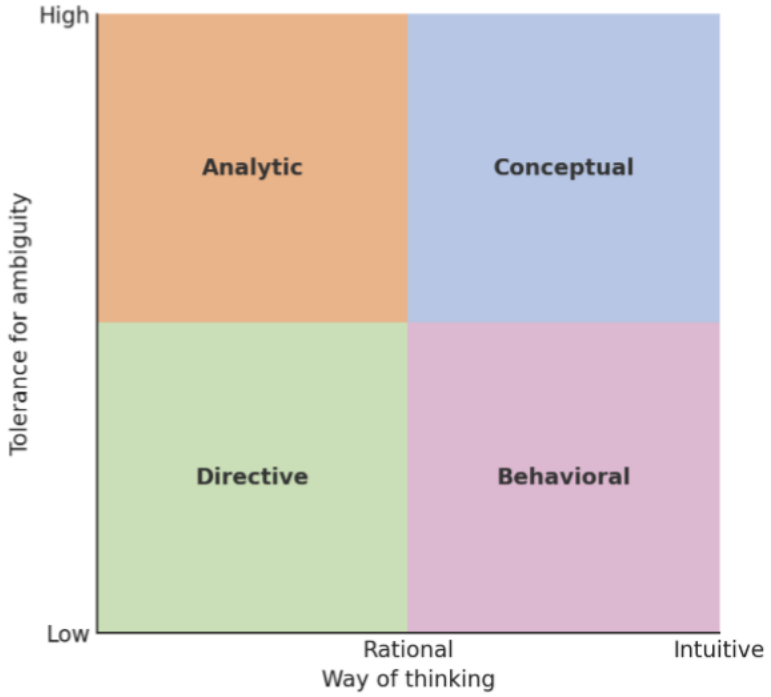
Decision-Making Styles

Directive
- Low tolerance on ambiguity and seek rationality
- Make decisions fast and focus on the short run

Analytic
- Have much grater tolerance for ambiguity than do directive decision makers
- Have the ability to adapt or cope with new situations.

Conceptual
- Broad in the outlook and consider many alternatives.
- Focus on long range and very good at finding creative solutions to problems

Behavioral
- Concerned with the achievement of peers and those working for them
- Tries to avoid conflict and seeks acceptance by others



Decision-Making Biases and Errors

Heuristics	• Using "rules of thumb" to simplify decision-making.
Overconfidence Bias	• Holding unrealistically positive views of oneself and one's performance.
Immediate Gratification Bias	• Choosing alternatives that offer immediate rewards and avoid immediate costs.
Anchoring Effect	• Fixating on initial information and ignoring subsequent information.
Selective Perception Bias	• Selecting, organizing and interpreting events based on the decision maker's biased perceptions.
Confirmation Bias	• Seeking out information that reaffirms past choices while discounting contradictory information.

Decision-Making Biases and Errors

Framing Bias	• Selecting and highlighting certain aspects of a situation while ignoring other aspects.
Availability Bias	• Losing decision-making objectivity by focusing on the most recent events.
Representation Bias	• Drawing analogies and seeing identical situations when none exist.
Randomness Bias	• Creating unfounded meaning out of random events.
Sunk Costs Errors	• Forgetting that current actions cannot influence past events and relate only to future consequences.
Self-Serving Bias	• Taking quick credit for successes and blaming outside factors for failures.
Hindsight Bias	• Mistakenly believing that an event could have been predicted once the actual outcome is known (after-the-fact).

Improving Decision-Making

Design Thinking

- "Approaching management problems as designer approach design problems"
- Consider how an object or process might be redesigned, not relying simply on rational analysis but also emotional elements

Big Data and Artificial Intelligence

- AI and big data can enhance managers' decision making by quickly analyzing vast amounts of information to uncover patterns, trends, and insights that would be difficult to detect manually.

Referensi

- Robbins, Stephen P & Coulter, Mary A. (2021). Management (15th edition). London : Pearson Education Limited.